

# International Political Economy (SOCS-SHU 222)

COOPERATION, CONFLICT, AND CRISIS IN THE  
CONTEMPORARY INTERNATIONAL MONETARY SYSTEM

Instructor: JING QIAN



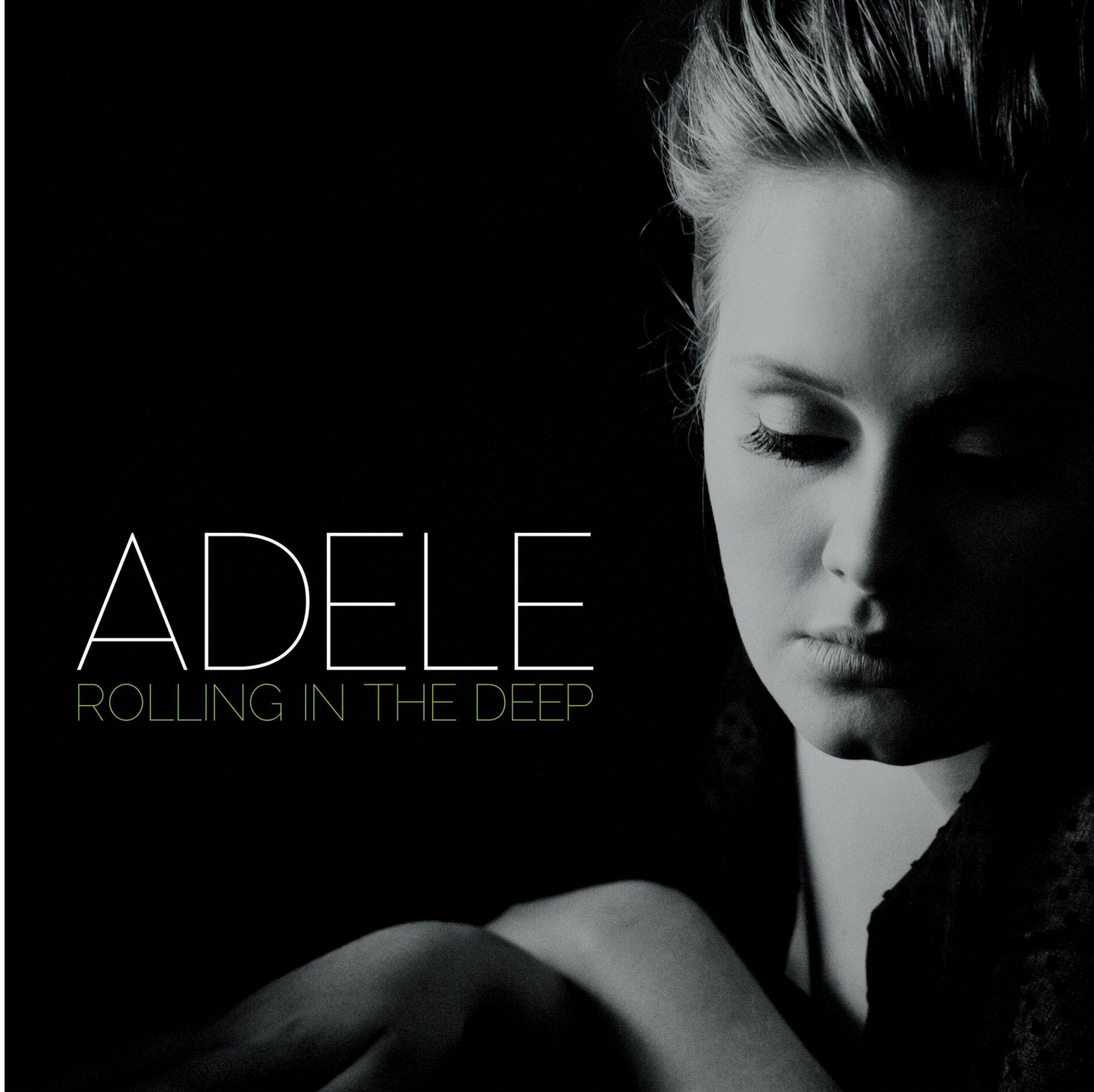
# Cooperation, Conflict, and Crisis in the Contemporary International Monetary System

READING ASSIGNMENT:

Oatley Chapter 11

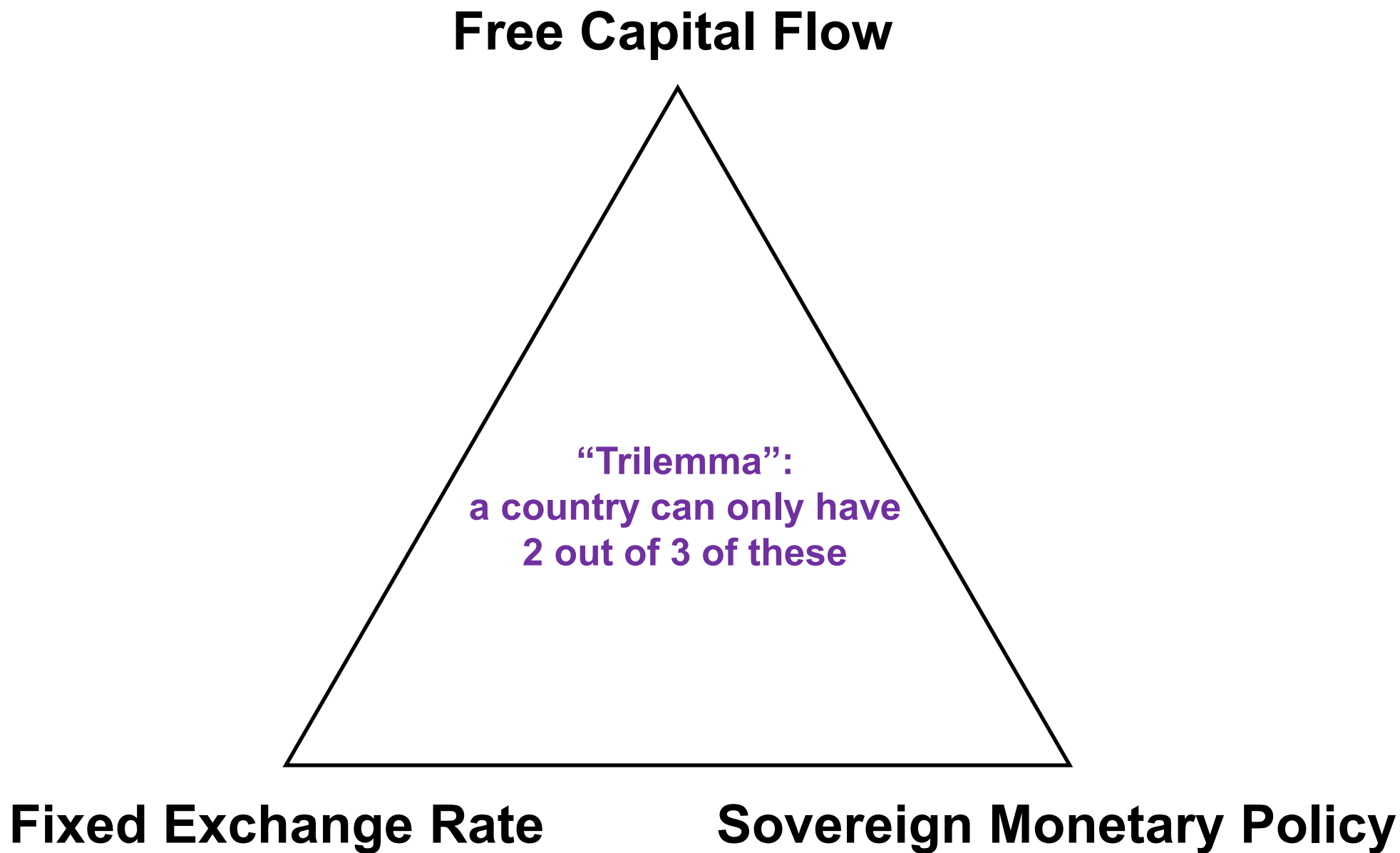
# ADELE

ROLLING IN THE DEEP



~~We could have had it all?~~

# The “Trilemma”



# *The Trilemma*

# *Open Capital Flows*



# *Fixed Exchange Rate*

# *Sovereign Monetary Policy*

# Why would you want...

- Free Capital Flow?
  - Draw on the savings of the rest of the world
  - Investment opportunities abroad
- Fixed Exchange Rate?
  - Reduce uncertainty in trade
- Sovereign Monetary Policy?
  - Address inflation/unemployment

**Free Capital Flow**

**“Trilemma”:  
a country can only have  
2 out of 3 of these**

**Fixed Exchange Rate**

**Sovereign Monetary Policy**

# The Exchange Rate System

A set of rules governing how much national currencies can appreciate and depreciate in the foreign exchange market

**FIXED-BUT-  
ADJUSTABLE**

**MANAGED  
FLOAT**

---

**FIXED**

**FLOATING**

# Consequences of XR volatility?

- Uncertainty hurts international transactions?
- Suppose you work on a profit margin of 5%-9% and the XR changes 5% between the time you ship an export and the time it arrives...
- But businesses can purchase options to buy a foreign currency 30, 60, or 90 days in the future at today's XR, thereby insuring themselves against short-term XR volatility
- Nevertheless, a reduction in investment is one possible consequence of currency misalignments

# Fixed Exchange Rate

- A kind of commitment
- To avoid SPECULATATION governments try to make a **credible** commitment to a fixed XR
- If the commitment is not credible, speculation can be disastrous
- Argentine Currency Board (1991-2002)
  - Pegged the Argentine peso to the U.S. dollar in an attempt to eliminate hyperinflation
  - Credibility? Required legislative vote to change the value of the currency (public discussion undermines the point of a devaluation!)
  - But deficit spending ultimately undermined confidence
  - And tied hands prevented the government from acting
  - Run on the currency in 2002 → disaster!!

## Official exchange rate (LCU per US\$, period average) - Argentina

International Financial Statistics database, International Monetary Fund (IMF)

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Line

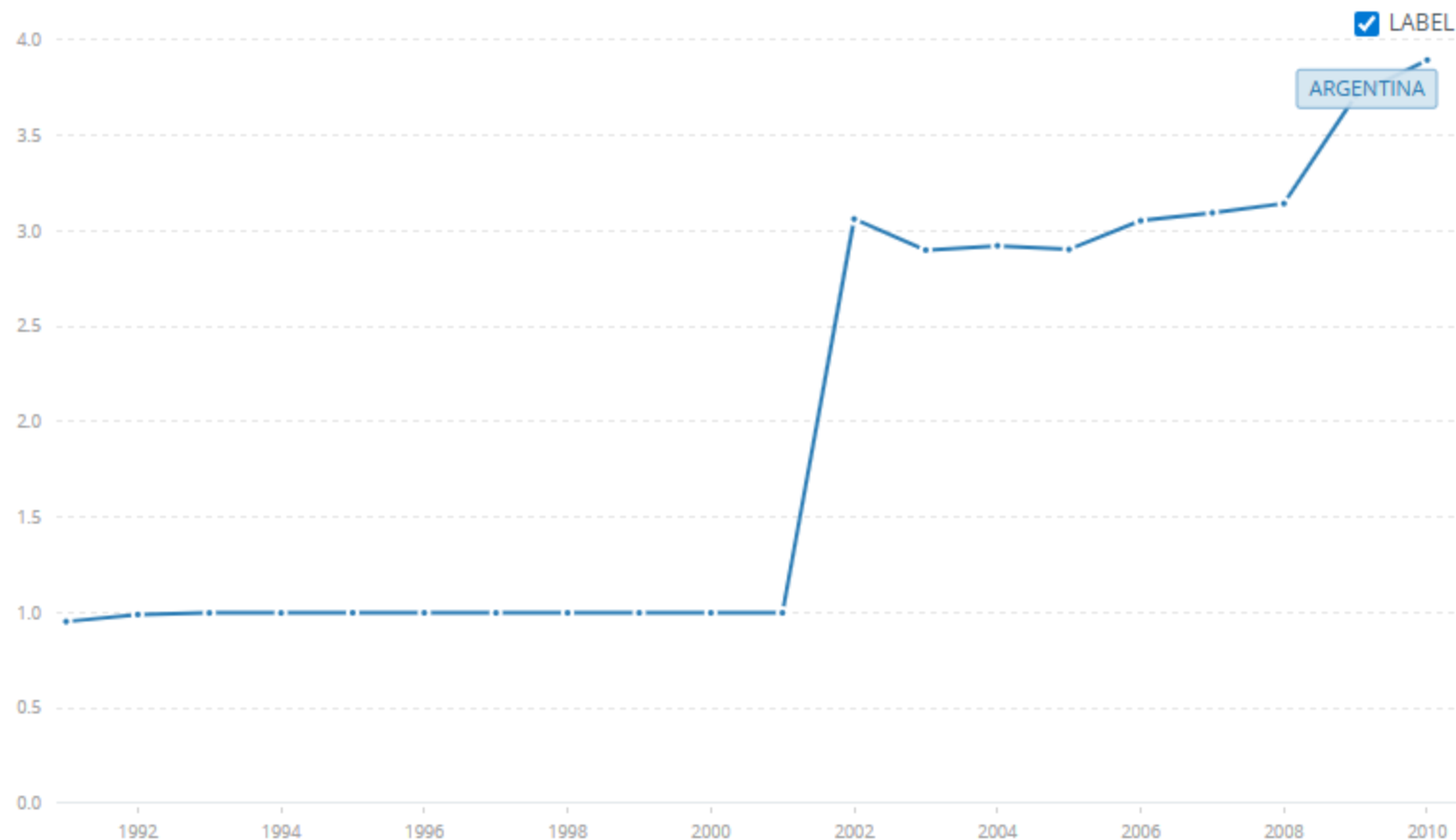
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Map

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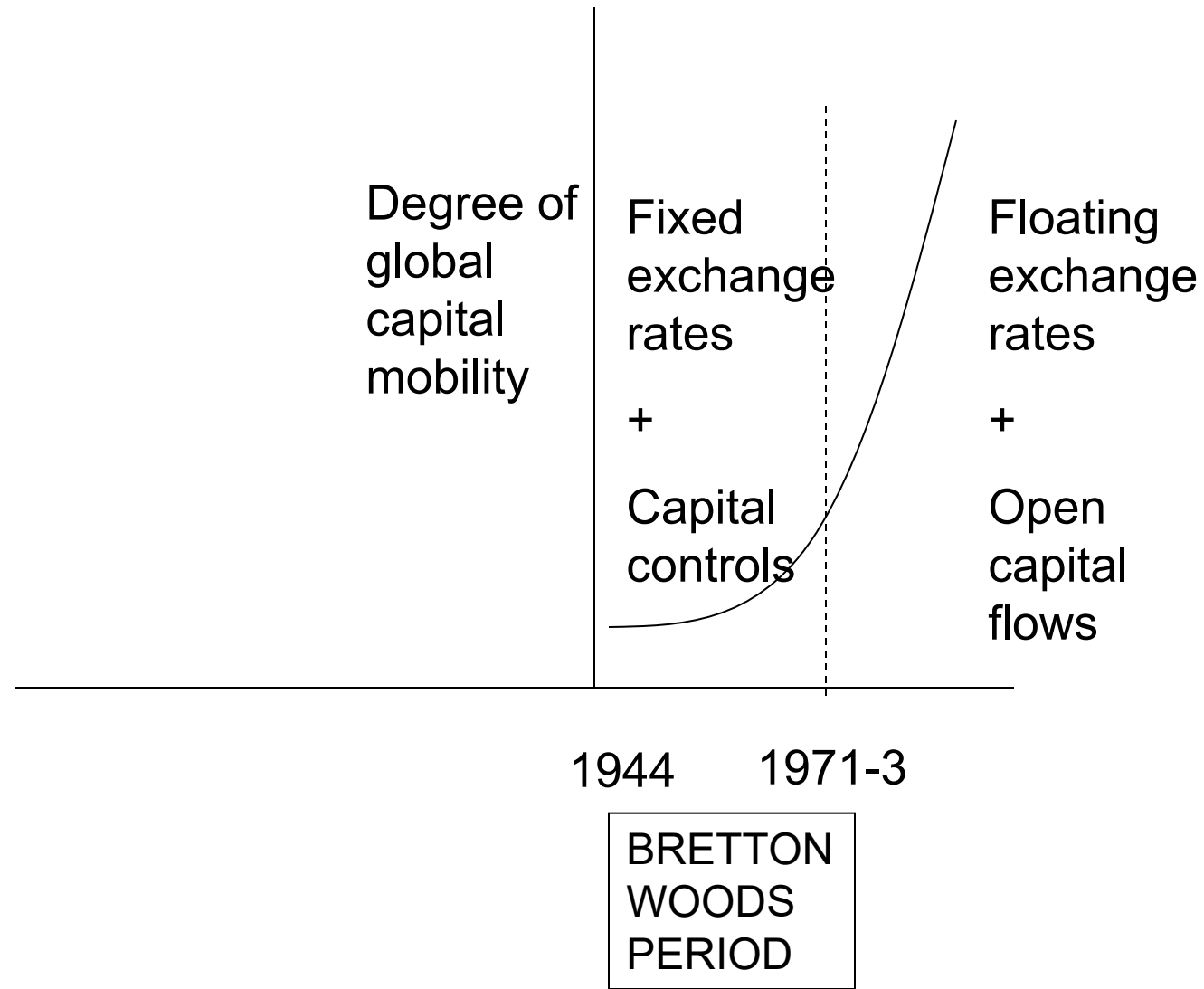
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Details





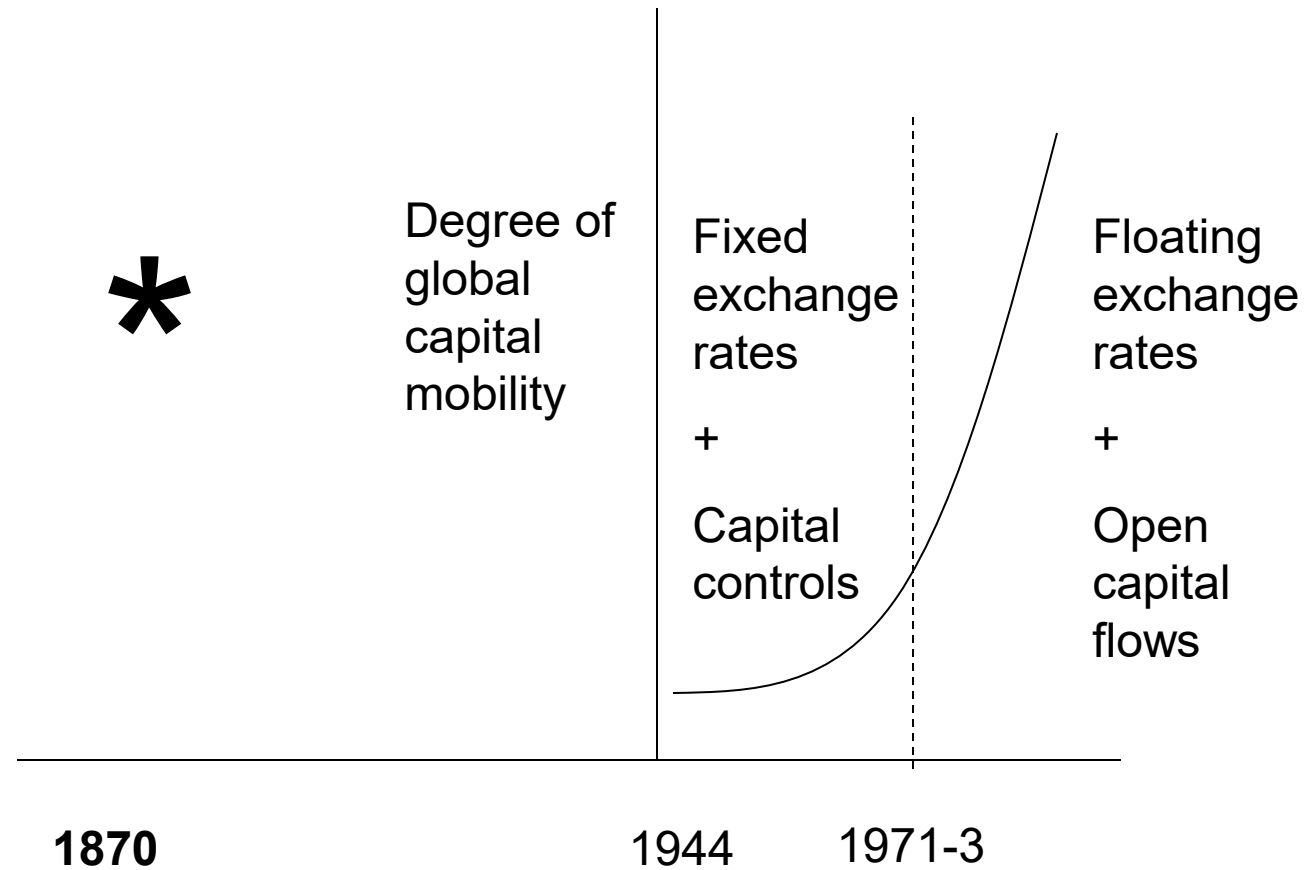
# The Rise and Fall of Bretton Woods



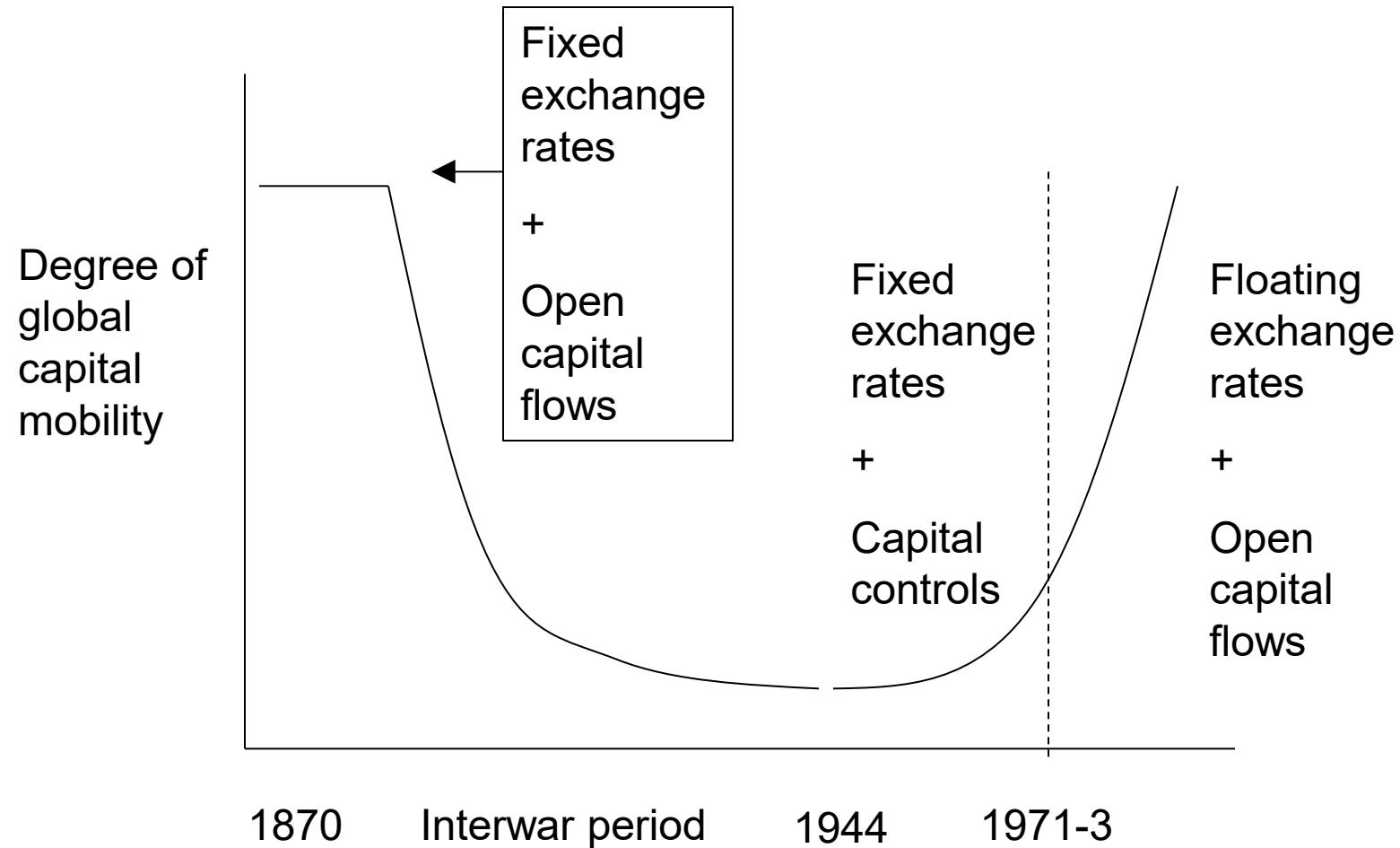
## **Conclusion:**

- Cannot maintain (global) fixed exchange rates in the presence of high capital mobility...?

# The Rise and Fall of Bretton Woods: A Puzzle



# A Puzzle: Why were countries able to maintain fixed exchange rates with high capital mobility in the late 19<sup>th</sup> century?



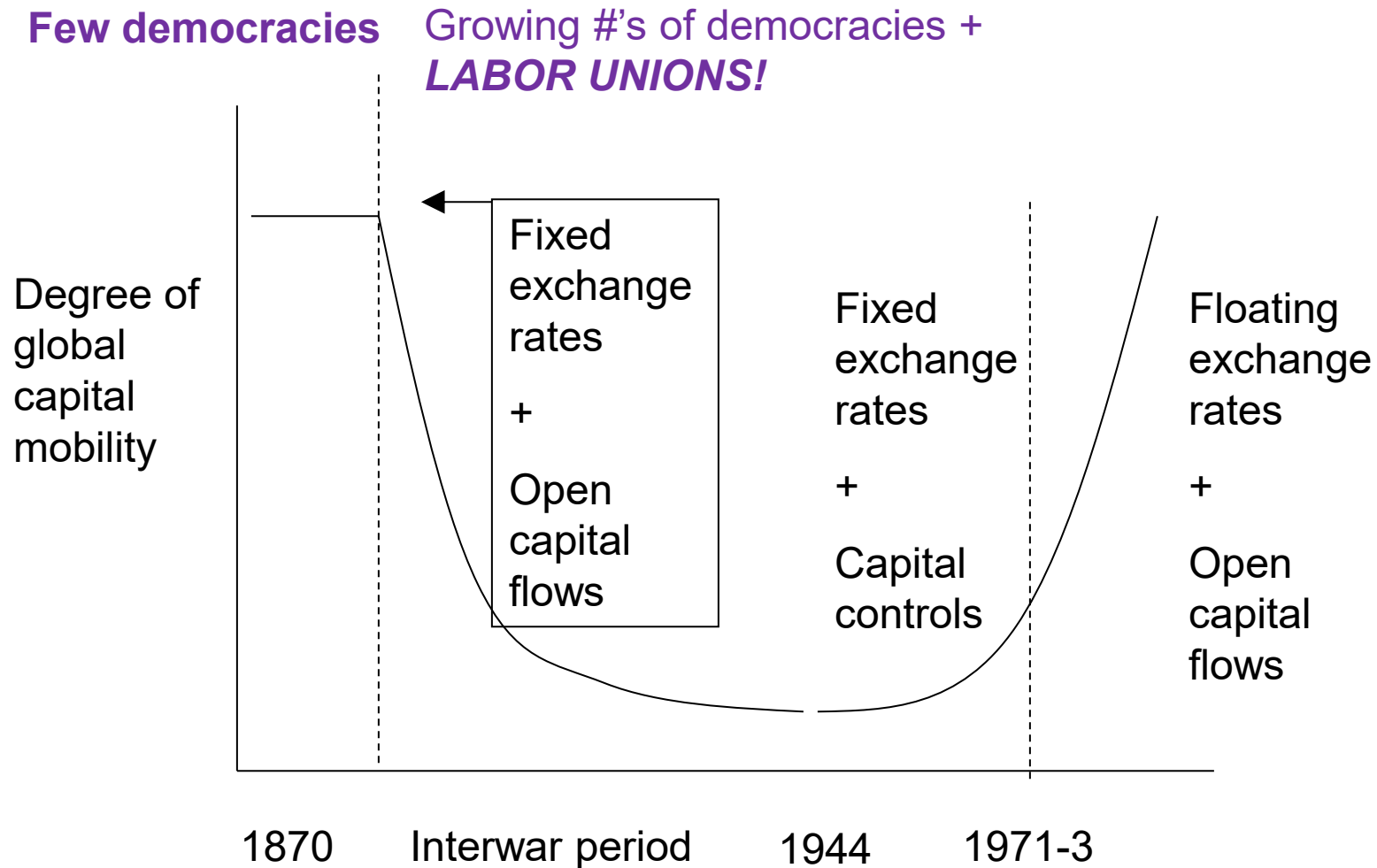
**Free Capital Flow**



**Fixed Exchange Rate**

**Sovereign Monetary Policy**

# Answer: Democracy



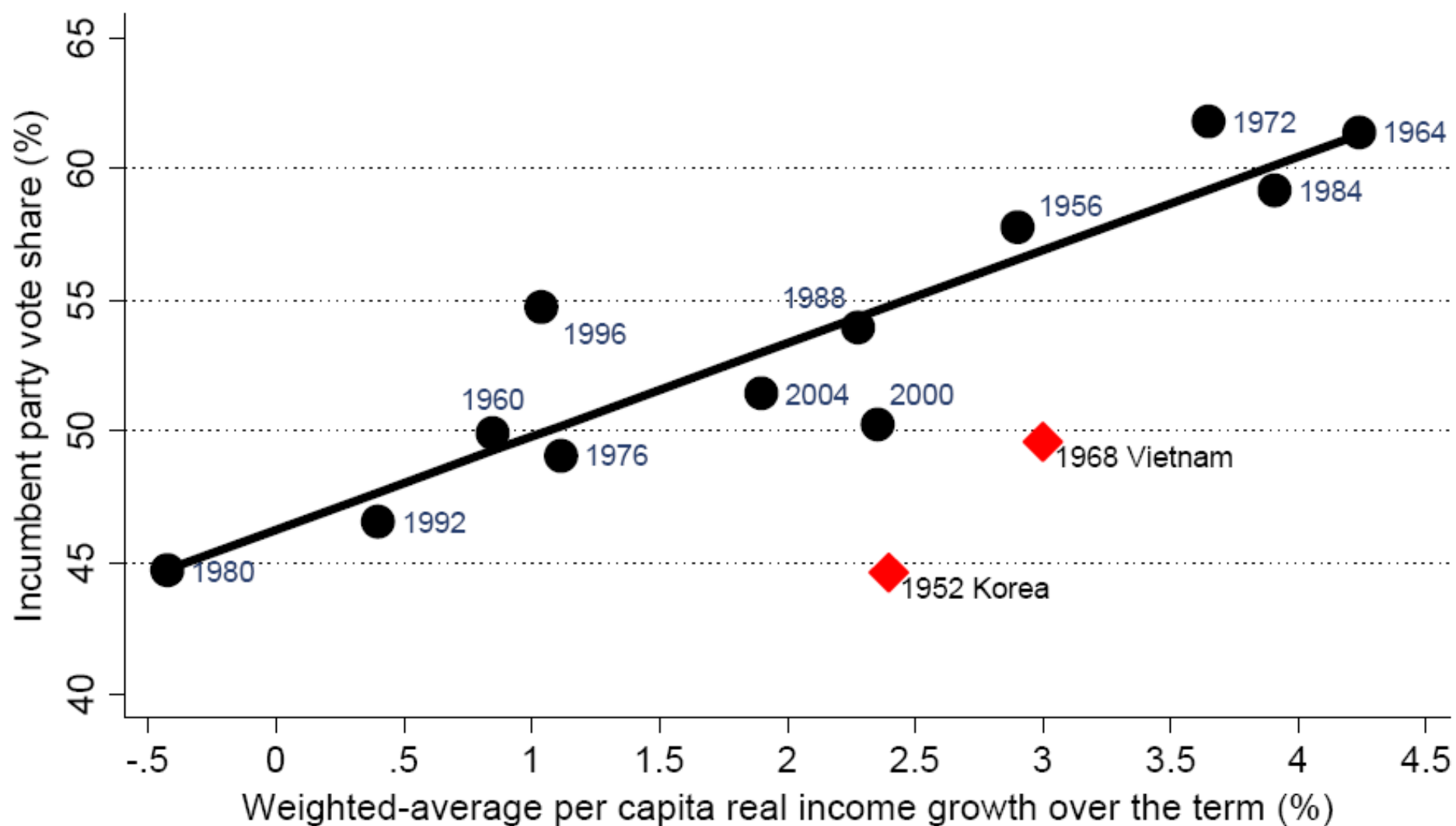
# Under democracy,

## The “pocketbook voter model”

- people vote according to changes in their income
- <http://www.youtube.com/watch?v=loBe0WXtts8>



Figure 1. Bread and Peace Voting in US Presidential Elections





# Why?

- So, why do fixed exchange rates pose a problem for democracies in the face of highly mobile capital?

# Pure Gold Standard

- Country A imports from Country B
- Gold moves from A to B (re-coined/minted)
- Less money in A → lower prices
- More money in B → higher prices
- → Country B imports from Country A
- Balance is restored

# With Paper Money

- Central Banks intervene by adjusting interest rates
- So gold doesn't actually flow
- Gold Standard → strict discipline!

# What is “discipline”?

- What do “lower prices in Country A” mean?
- Supply of money down
- More expensive to borrow
- Jobs cut!
- People don’t eat!

# Stylized History

- Late 19<sup>th</sup> century:
  - Mobile capital, authoritarian governments
- Interwar years:
  - Mobile capital + democracy → beggar-thy-neighbor
    - [http://www.youtube.com/watch?v=3\\_ex0sTsb\\_l&feature=channel](http://www.youtube.com/watch?v=3_ex0sTsb_l&feature=channel)

NEW YORK, THURSDAY, APRIL 23, 1933.

# GOLD STANDARD DROPPED TO LIFT PRICES AND AID OUT PLANS FOR CONTROLLED

Wages Prices Gold Exchange  
As the Best Possible Control

The change in gold standard  
was expected to be a great  
boost to the economy and  
to the gold standard.

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to the gold standard.

## ALL MARKETS BOOSTED

Stocks Rise 1 to 9½ and  
Commodities Spurt as  
Bonds Move Lower.

## Dollar D

Official statement of  
the government announced a  
change in the gold  
standard and the dollar.  
The change in the gold  
standard was expected to be a  
great boost to the economy and  
to the gold standard.



# Stylized History

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- Bretton Woods (1944-1971/3):
  - Capital controls + democracy
    - <http://www.youtube.com/watch?v=GVytOtfPZe8>

# What were the goals of Bretton Woods?

- Attempted to establish a system of fixed XR in a world where governments were unwilling to sacrifice employment to address imbalances
- 4 INNOVATIONS:
  1. Some XR flexibility (fixed-but-adjustable “snake”)
  2. Capital controls
  3. A stabilization fund (held on reserve at the IMF)
  4. The International Monetary Fund – authority over XR changes + conditionality attached to loans



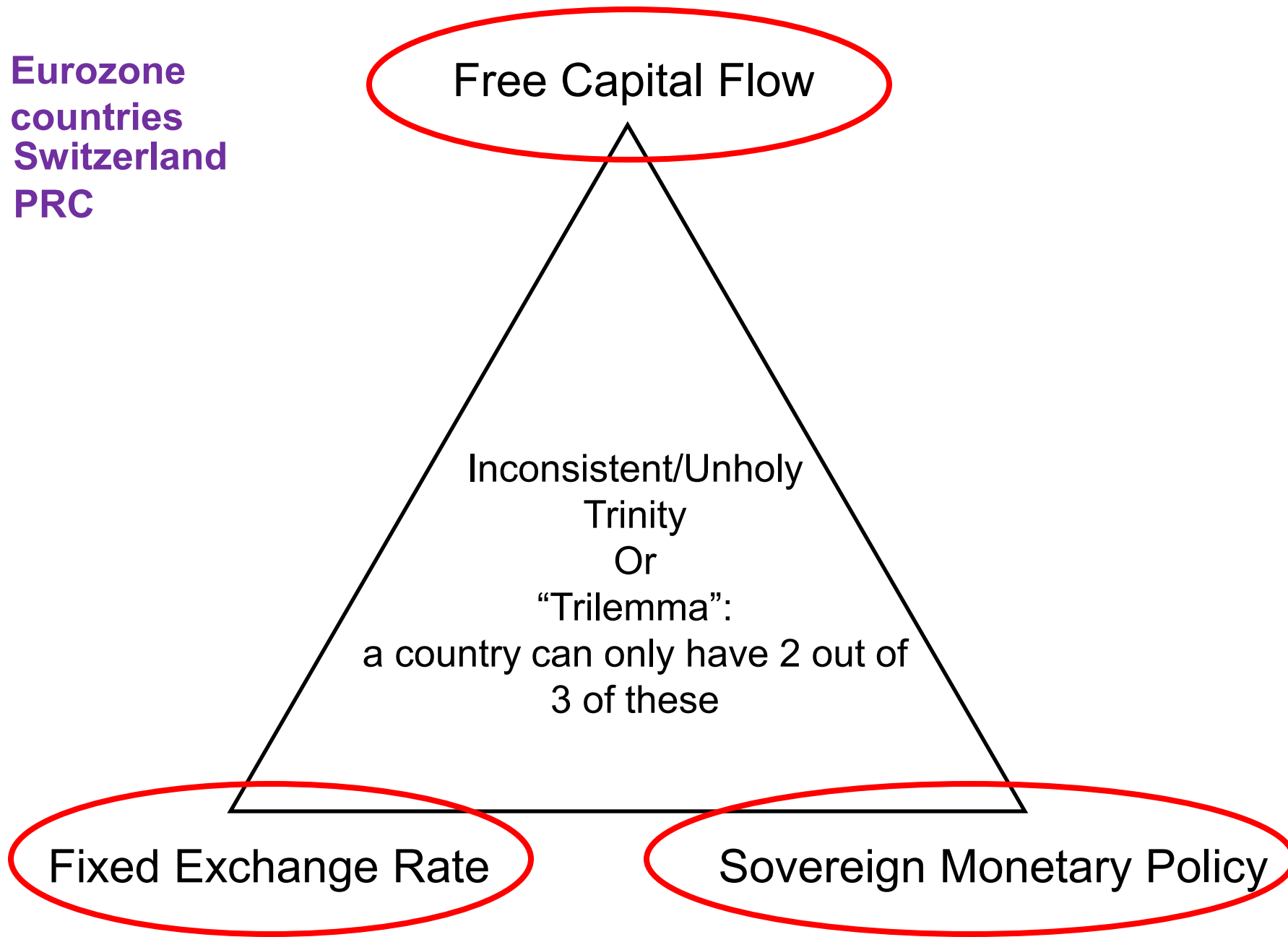
# Bretton Woods failed for several reasons

- IMF lacked true authority over XR – governments did as they saw fit
- Governments did not like IMF conditionality
- The stabilization fund was never large enough to deal with the potentially massive imbalances that come with growing globalized economic integration
- Straws that broke the BW back:
  - USA: VIETNAM + SOCIAL SPENDING + INTERNATIONAL RESERVE CURRENCY
  - ➔ SPECULATION that the US cannot maintain the fixed convertibility to gold + the French – regularly demanded American gold from the US for the \$'s they accumulated
- <http://www.youtube.com/watch?v=iRzr1QU6K1o>

# Stylized History

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- Bretton Woods (1944-1971/3):
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    - <http://www.youtube.com/watch?v=GVytOtfPZe8>
- Post Bretton Woods:
  - Floating exchange rates
    - <http://www.youtube.com/watch?v=iRzr1QU6K1o>

Eurozone  
countries  
Switzerland  
PRC



# Monetary Policy

Policies to adjust the supply of money in the economy

## Expansionary

- ↓ Interest rates ~ ↑ Money supply
- ↑ Borrowing, ↓ Savings
- ↑ Investment and consumption
- ↓ Unemployment
- Risks of inflation

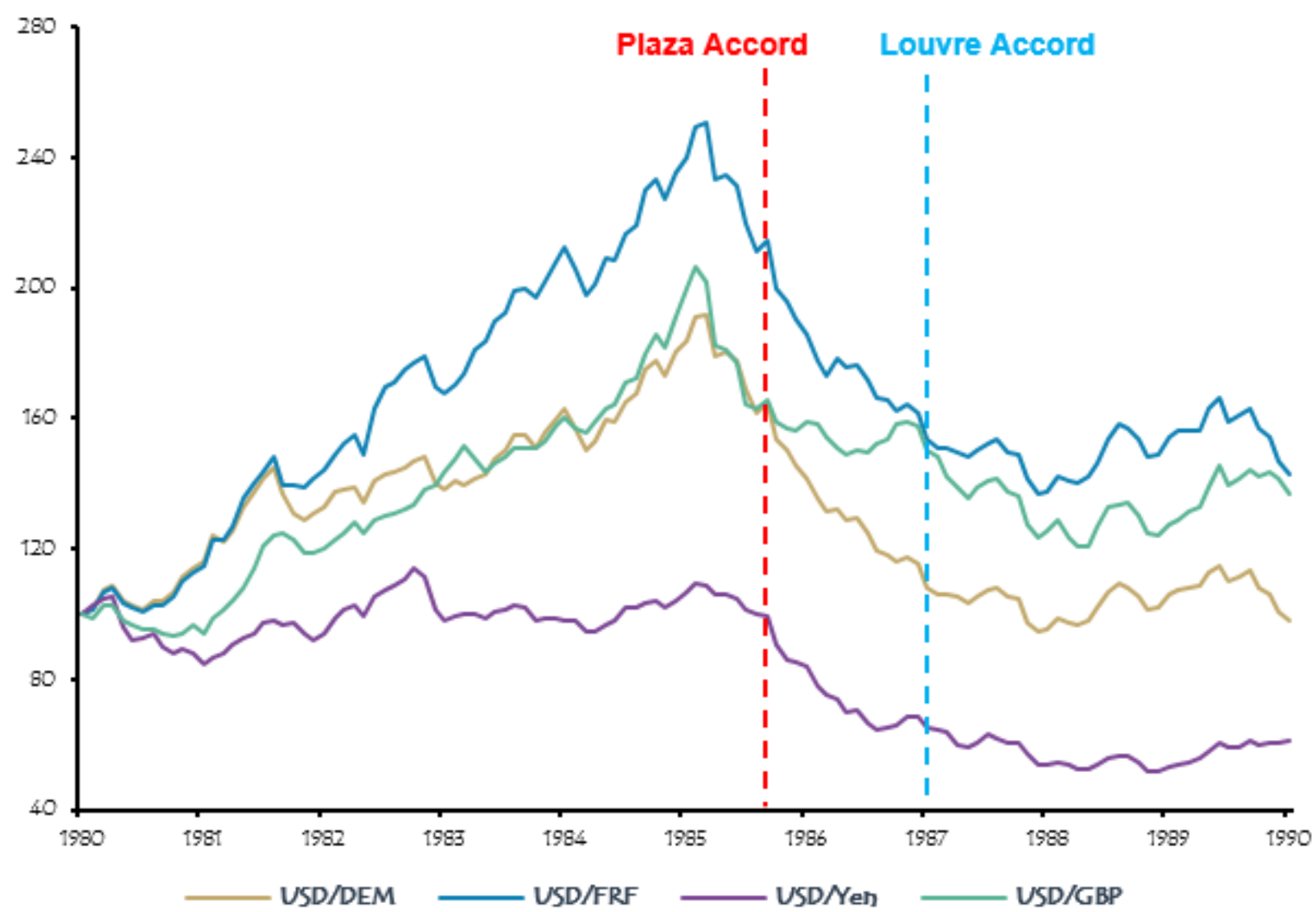
## Contractionary

- ↑ Interest rates ~ ↓ Money supply
- ↓ Borrowing, ↑ Savings
- ↓ Investment and consumption
- ↑ Unemployment
- Control inflation

**Why is the US dollar special?**

# Overvaluation of the Dollar

- International reserve currency
- Early 1980s: Reagan's fiscal expansion – cut taxes, increased spending →
- Current account deficit →
- Increased interest rates and capital inflows (from, e.g., Japan) →
- Value of the dollar goes up!
- Plaza Accord (fall 1985): G5 agreed to reduce the value of the dollar against the yen & mark by 10-12% – sell dollars if it appeared the value was going to increase
- By early 1987, dollar had depreciated 40%



# Similar Situation Today

- US twin deficits: fiscal & current account
- Japan, Europe, China, current account surpluses →
- Finance the American deficit



# What's the worry?

- Catastrophe!
- Doubts about the solvency of American financial institutions & American assets➔
- Foreign lenders reluctant to continue to accumulate dollar-denominated assets➔
- Trigger massive sales of current holdings?

# Thank You!



# Take-away

1. The Trilemma (choose 2 out of 3)
  - Free Capital Flow
    - Draw on the savings of the rest of the world
    - Investment opportunities abroad
  - Fixed Exchange Rate
    - Reduce uncertainty in trade
  - Sovereign Monetary Policy
    - Address inflation/unemployment
2. Democracy → Fall of the gold standard
3. Fall of Bretton Woods replaced with floating XR
4. The Trilemma
5. Floating XR allows for flexibility in monetary policy